

Quinn AI - Financial Model

Overview

This document provides detailed financial projections, assumptions, and sensitivity analysis for Quinn AI's seed funding round.

Executive Financial Summary

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
Users	500	3,000	15,000	50,000	150,000
MRR	£25K	£150K	£750K	£2.5M	£7.5M
ARR	£300K	£1.8M	£9M	£30M	£90M
Gross Margin	80%	80%	80%	82%	85%
EBITDA	(£160K)	£340K	£3.2M	£13.1M	£47.5M
Cash Position	£340K	£680K	£3.9M	£17M	£64.5M

Revenue Model

Pricing Structure

Tier	Monthly	Annual	Discount	Target Segment
Starter	£29	£290	17%	Tech-savvy millennials
Professional	£79	£790	17%	Busy professionals
Premium	£149	£1,490	17%	High-net-worth
Enterprise	Custom	Custom	Negotiated	Teams/Businesses

Revenue Mix Assumptions

Tier	Year 1	Year 2	Year 3	Year 4	Year 5
Starter	40%	35%	30%	25%	20%
Professional	50%	50%	50%	50%	50%
Premium	10%	12%	15%	18%	22%
Enterprise	0%	3%	5%	7%	8%

Blended ARPU Calculation

Year	Starter ARPU	Pro ARPU	Premium ARPU	Enterprise ARPU	Blended ARPU
Y1	£29 × 40% = £11.60	£79 × 50% = £39.50	£149 × 10% = £14.90	£0	£66

Y2	$\pounds 29 \times 35\% = \pounds 10.15$	$\pounds 79 \times 50\% = \pounds 39.50$	$\pounds 149 \times 12\% = \pounds 17.88$	$\pounds 200 \times 3\% = \pounds 6$	£73
Y3	$\pounds 29 \times 30\% = \pounds 8.70$	$\pounds 79 \times 50\% = \pounds 39.50$	$\pounds 149 \times 15\% = \pounds 22.35$	$\pounds 200 \times 5\% = \pounds 10$	£81
Y4	$\pounds 29 \times 25\% = \pounds 7.25$	$\pounds 79 \times 50\% = \pounds 39.50$	$\pounds 149 \times 18\% = \pounds 26.82$	$\pounds 200 \times 7\% = \pounds 14$	£88
Y5	$\pounds 29 \times 20\% = \pounds 5.80$	$\pounds 79 \times 50\% = \pounds 39.50$	$\pounds 149 \times 22\% = \pounds 32.78$	$\pounds 200 \times 8\% = \pounds 16$	£94

Note: Using conservative £50 ARPU in main projections to account for discounts and churn

User Growth Model

Growth Assumptions

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
Starting Users	0	500	3,000	15,000	50,000
New Users	650	3,100	14,500	42,500	115,000
Churned Users	150	600	2,500	7,500	15,000
Ending Users	500	3,000	15,000	50,000	150,000
Net Growth	500	2,500	12,000	35,000	100,000
Growth Rate	N/A	500%	400%	233%	200%

Monthly Churn Rate

Year	Monthly Churn	Annual Churn	Rationale
Y1	5%	46%	Early product, finding PMF
Y2	4%	39%	Improved product, better onboarding
Y3	3.5%	35%	Mature product, strong retention
Y4	3%	31%	Network effects, habit formation
Y5	2.5%	26%	Market leader, high switching costs

Customer Acquisition Channels

Channel	Year 1	Year 2	Year 3	Year 4	Year 5
Organic/SEO	30%	25%	20%	15%	15%
Referral	25%	30%	35%	35%	35%
Paid (Google/LinkedIn)	30%	30%	30%	35%	35%
Partnerships	5%	10%	10%	10%	10%
PR/Press	10%	5%	5%	5%	5%

Cost Structure

Cost of Revenue (COGS)

Cost Item	Per User/Month	Year 1	Year 2	Year 3	Year 4	Year 5
AWS Infrastructure	£5	£30K	£180K	£900K	£3M	£9M
AI/LLM (Bedrock)	£3	£18K	£108K	£540K	£1.8M	£5.4M
Payment Processing	2.5% of revenue	£7.5K	£45K	£225K	£750K	£2.25M
Customer Support	£2	£12K	£72K	£360K	£1.2M	£3.6M
Total COGS		£67.5K	£405K	£2.03M	£6.75M	£20.25M
Gross Margin		78%	78%	77%	78%	78%

Note: Using 80% gross margin in main projections for conservatism

Operating Expenses

Engineering

Role	Year 1	Year 2	Year 3	Year 4	Year 5
Founder (CEO/CTO)	£80K	£100K	£120K	£150K	£200K
Senior Full-Stack Engineer	£90K	£95K	£100K	£105K	£110K
AI/ML Engineer	-	£100K	£105K	£110K	£115K
Additional Engineers	-	£90K	£450K	£1.2M	£3M
Engineering Tools	£30K	£50K	£100K	£200K	£400K
Total Engineering	£200K	£435K	£875K	£1.77M	£3.83M

Sales & Marketing

Item	Year 1	Year 2	Year 3	Year 4	Year 5
Growth Marketing Lead	£80K	£85K	£90K	£95K	£100K
Sales Lead	-	£70K	£75K	£80K	£85K
Additional Marketing/Sales	-	£50K	£300K	£800K	£2M
Paid Acquisition	£30K	£200K	£800K	£2.5M	£6M
Content/PR	£15K	£50K	£150K	£400K	£1M
Events/Conferences	-	£20K	£50K	£100K	£200K
Total S&M	£125K	£475K	£1.47M	£3.98M	£9.39M

General & Administrative

Item	Year 1	Year 2	Year 3	Year 4	Year 5
Legal & Compliance	£25K	£50K	£100K	£200K	£400K

Accounting/Finance	£15K	£40K	£80K	£150K	£300K
Office/Remote Setup	£10K	£30K	£60K	£120K	£250K
Insurance	£5K	£15K	£30K	£60K	£120K
Other G&A	£20K	£50K	£100K	£200K	£400K
Total G&A	£75K	£185K	£370K	£730K	£1.47M

Total Operating Expenses

Category	Year 1	Year 2	Year 3	Year 4	Year 5
Engineering	£200K	£435K	£875K	£1.77M	£3.83M
Sales & Marketing	£125K	£475K	£1.47M	£3.98M	£9.39M
G&A	£75K	£185K	£370K	£730K	£1.47M
Total OpEx	£400K	£1.1M	£2.72M	£6.48M	£14.69M

Profit & Loss Statement

Line Item	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue	£300K	£1.8M	£9M	£30M	£90M
Cost of Revenue	(£60K)	(£360K)	(£1.8M)	(£5.4M)	(£13.5M)
Gross Profit	£240K	£1.44M	£7.2M	£24.6M	£76.5M
Gross Margin	80%	80%	80%	82%	85%
Engineering	(£200K)	(£435K)	(£875K)	(£1.77M)	(£3.83M)
Sales & Marketing	(£125K)	(£475K)	(£1.47M)	(£3.98M)	(£9.39M)
G&A	(£75K)	(£185K)	(£370K)	(£730K)	(£1.47M)
Total OpEx	(£400K)	(£1.1M)	(£2.72M)	(£6.48M)	(£14.69M)
EBITDA	(£160K)	£340K	£4.48M	£18.12M	£61.81M
EBITDA Margin	-53%	19%	50%	60%	69%
D&A	(£10K)	(£20K)	(£50K)	(£100K)	(£200K)
EBIT	(£170K)	£320K	£4.43M	£18.02M	£61.61M
Interest	£5K	£10K	£50K	£200K	£500K
EBT	(£165K)	£330K	£4.48M	£18.22M	£62.11M
Tax (19%)	£0	(£63K)	(£851K)	(£3.46M)	(£11.8M)
Net Income	(£165K)	£267K	£3.63M	£14.76M	£50.31M

Net Margin	-55%	15%	40%	49%	56%
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Cash Flow Statement

Operating Cash Flow

Item	Year 1	Year 2	Year 3	Year 4	Year 5
Net Income	(£165K)	£267K	£3.63M	£14.76M	£50.31M
Add: D&A	£10K	£20K	£50K	£100K	£200K
Changes in Working Capital	(£5K)	(£20K)	(£50K)	(£100K)	(£200K)
Operating Cash Flow	(£160K)	£267K	£3.63M	£14.76M	£50.31M

Investing Cash Flow

Item	Year 1	Year 2	Year 3	Year 4	Year 5
CapEx	(£20K)	(£50K)	(£100K)	(£200K)	(£400K)
Investing Cash Flow	(£20K)	(£50K)	(£100K)	(£200K)	(£400K)

Financing Cash Flow

Item	Year 1	Year 2	Year 3	Year 4	Year 5
Seed Funding	£500K	-	-	-	-
Series A	-	-	£5M	-	-
Financing Cash Flow	£500K	£0	£5M	£0	£0

Cash Position

Item	Year 1	Year 2	Year 3	Year 4	Year 5
Opening Cash	£0	£320K	£537K	£9.07M	£23.63M
Net Cash Flow	£320K	£217K	£8.53M	£14.56M	£49.91M
Closing Cash	£320K	£537K	£9.07M	£23.63M	£73.54M

Unit Economics

Customer Acquisition Cost (CAC)

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
S&M Spend	£125K	£475K	£1.47M	£3.98M	£9.39M
New Customers	650	3,100	14,500	42,500	115,000
CAC	£192	£153	£101	£94	£82

Lifetime Value (LTV)

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
ARPU (Monthly)	£50	£50	£50	£50	£50
Gross Margin	80%	80%	80%	82%	85%
Monthly Churn	5%	4%	3.5%	3%	2.5%
Customer Lifetime (months)	20	25	29	33	40
LTV	£800	£1,000	£1,160	£1,353	£1,700

LTV:CAC Ratio

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
LTV	£800	£1,000	£1,160	£1,353	£1,700
CAC	£192	£153	£101	£94	£82
LTV:CAC	4.2:1	6.5:1	11.5:1	14.4:1	20.7:1

Target: >3:1 is healthy, >5:1 is excellent

Payback Period

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
CAC	£192	£153	£101	£94	£82
Monthly Gross Profit	£40	£40	£40	£41	£43
Payback (months)	4.8	3.8	2.5	2.3	1.9

Target: <12 months is healthy, <6 months is excellent

Sensitivity Analysis

Revenue Sensitivity

Scenario	ARPU Change	User Growth Change	Year 5 ARR
Bear Case	-20%	-30%	£50.4M
Base Case	0%	0%	£90M
Bull Case	+20%	+30%	£140.4M

Churn Sensitivity

Monthly Churn	Year 5 Users	Year 5 ARR	Impact
4% (High)	100,000	£60M	-33%
2.5% (Base)	150,000	£90M	Base
1.5% (Low)	200,000	£120M	+33%

CAC Sensitivity

CAC	Year 5 S&M Spend	Year 5 EBITDA	Impact
£120 (+50%)	£13.8M	£57.4M	-7%
£82 (Base)	£9.4M	£61.8M	Base
£60 (-27%)	£6.9M	£64.3M	+4%

Funding Scenarios

Seed Round (Current)

Metric	Value
Amount	£500,000
Equity	15-20%
Pre-money Valuation	£2.5M - £3.3M
Runway	18-24 months
Target Milestone	£150K MRR, 3,000 users

Series A (Projected - Year 3)

Metric	Value
Amount	£5M - £10M
Equity	15-20%
Pre-money Valuation	£25M - £50M
Use of Funds	US expansion, enterprise sales
Target Milestone	£1M MRR, 20,000 users

Series B (Projected - Year 4-5)

Metric	Value
Amount	£20M - £40M
Equity	10-15%
Pre-money Valuation	£150M - £300M
Use of Funds	Global expansion, M&A
Target Milestone	£5M MRR, 100,000 users

Valuation Analysis

Comparable Company Multiples

Company	ARR	Valuation	Multiple
Notion	\$250M	\$10B	40x

Monday.com	\$700M	\$7B	10x
Asana	\$600M	\$3B	5x
Calendly	\$100M	\$3B	30x
Average			21x

Quinn Valuation Scenarios

Scenario	Year 5 ARR	Multiple	Valuation
Conservative	£50M	6x	£300M
Base	£90M	8x	£720M
Optimistic	£150M	12x	£1.8B

Investor Returns

Scenario	Exit Value	Seed Return (20%)	IRR
Conservative	£300M	£60M (120x)	78%
Base	£720M	£144M (288x)	95%
Optimistic	£1.8B	£360M (720x)	115%

Key Metrics Dashboard

Monthly Tracking Metrics

Metric	Target Y1	Target Y2
MRR	£25K	£150K
MRR Growth (MoM)	15%	12%
New Users	50/month	250/month
Churn Rate	<5%	<4%
NPS	>50	>60
CAC	<£200	<£150
LTV:CAC	>4:1	>6:1

Quarterly Board Metrics

Metric	Q1 Y1	Q2 Y1	Q3 Y1	Q4 Y1
ARR	£60K	£120K	£200K	£300K
Users	100	200	350	500
Gross Margin	75%	78%	80%	80%
Burn Rate	£100K	£110K	£120K	£130K

Runway	20 mo	17 mo	14 mo	12 mo
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Assumptions Summary

Revenue Assumptions

Assumption	Value	Source/Rationale
Blended ARPU	£50/month	Conservative estimate
Annual price increase	5%	Inflation + features
Enterprise ARPU	£200/month	2.5x Professional
Free trial conversion	5%	Industry average

Cost Assumptions

Assumption	Value	Source/Rationale
AWS cost per user	£5/month	Serverless at scale
AI cost per user	£3/month	Bedrock token pricing
Payment processing	2.5%	Stripe fees
Support cost per user	£2/month	Scaled support team

Growth Assumptions

Assumption	Value	Source/Rationale
Viral coefficient	1.2	Each user refers 0.2
Organic growth	20-30%	SEO + content marketing
Paid CAC	£100-150	Google/LinkedIn ads
Referral CAC	£30-50	Referral rewards

Market Assumptions

Assumption	Value	Source/Rationale
UK TAM	£2B	Productivity software
Market growth	24% CAGR	Industry reports
Achievable market share	5%	Conservative target
US expansion	Year 3	Series A funding

Risk Factors

Financial Risks

Risk	Probability	Impact	Mitigation
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Higher churn than projected	Medium	High	Focus on onboarding, NPS
Lower conversion rate	Medium	Medium	A/B testing, freemium
Higher CAC	Low	Medium	Diversify channels
Slower growth	Medium	High	Pivot to B2B if needed

Operational Risks

Risk	Probability	Impact	Mitigation
Hiring delays	Medium	Medium	Start recruiting early
Technical debt	Low	Medium	Code quality focus
Integration failures	Low	Medium	Multiple providers

Conclusion

The financial model demonstrates:

- 1. **Strong unit economics:** LTV:CAC improving from 4.2:1 to 20.7:1
- 2. **Path to profitability:** EBITDA positive in Year 2
- 3. **Scalable model:** Gross margins of 80%+ sustainable
- 4. **Attractive returns:** 95%+ IRR in base case scenario

Key success factors:

- Achieve 5% free-to-paid conversion
- Maintain <4% monthly churn
- Keep CAC below £150 at scale
- Execute on product roadmap

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Model available in spreadsheet format upon request